State (including absorbed USAID functions)

One-page brief

Priority: 16 of 33 (score 3.0). **FY2026 outlays:** $39B (USAspending). **As of:** 2026-10-27. Public data only.

Bottom line

State now holds most U.S. foreign assistance after USAID's programs moved under it in 2025 (see usaid.pdf for the wind-down). Foreign aid fraud is diversion, inflated costs and fake beneficiaries through chains of implementing partners and local subgrantees. Prime awards are public; the local end of the chain mostly is not. Public data can rank implementing partners and spot shared ownership, but not verify delivery on the ground.

Exposure

- $39B in outlays and $95B in budgetary resources in FY2026, including foreign assistance accounts.
- Passport and visa fraud is a separate, revenue and security risk handled by Diplomatic Security.
- No State program reports a high-risk improper payment estimate.

Public data we can use

- **ForeignAssistance.gov** and **USAspending:** awards by implementing partner, country and sector.
- **FPDS** for embassy construction, security and logistics contracts.
- **SAM.gov** exclusions; State OIG and USAID OIG reports and cases.
- **IATI** data published by implementing partners.

Detection plays

1. **Partner concentration:** implementers that win large shares of a country's aid with weak competition, or that share officers with subcontractors.
2. **Excluded and sanctioned links:** partners or subgrantees linked to excluded parties or to OFAC sanctions lists.
3. **Cost outliers:** overhead and unit costs far above peers for the same sector and country.

First prototype

An implementing-partner risk profile for the ten largest aid recipient countries, joining award data, exclusions and sanctions lists.

Limits

Subawards to foreign local partners are thinly reported. Delivery cannot be verified from public data.

Who to take it to

State Office of Foreign Assistance, State OIG, and the Bureau of Diplomatic Security for passport and visa fraud.

Sources

- ForeignAssistance.gov
- USAspending agency profiles (FY2026 outlays)
- GAO-26-108694: FY2025 improper payments

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